



TITAN GRID: A SMART FACTORY FOR NEAR-SHORING THE PRODUCTION OF TRANSFORMER TANKS AND RADIATOR FIN WALLS



01.4_Security

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TITAN GRID – ADVANCED
TRANSFORMER TANK
MANUFACTURING FACILITY
TRANSFORMER TANKS & FIN WALLS
Metal D.O.O.

EXHIBIT 01.4: ENHANCED LENDER SECURITY & DSRA MANDATE

Project: TITAN Grid (ARS Metal Industries d.o.o.)

Classification: Liquidity Covenant & Debt Service Guarantee

Date: March 2026

1. OBJECTIVE: THE LIQUIDITY FORTRESS

To ensure complete assurance of debt serviceability, ARS Metal Industries d.o.o. ("The Company") has established a comprehensive liquidity management framework. This strategy separates the project's financial commitments from short-term operational cycles, offering **Senior Lenders** a first-priority, cash-backed security interest.

2. DEBT SERVICE RESERVE ACCOUNT (DSRA) MANDATE

The Company commits to the establishment and maintenance of a **Blocked DSRA**, governed by the following strict covenants:

- **Initial Funding (Cash-Collateral):** Before the first disbursement of the credit facility, the Company will deposit an amount equivalent to **six (6) months of total debt service** (Principal + Interest) into a dedicated reserve account.
- **Restoration Protocol:** If the DSRA is used to address any temporary liquidity shortfall, **100%** of the project's Free Cash Flow (FCF) will be redirected to restore the account to its full **6-month minimum** before any other disbursements (including dividends).
- **Control:** The **DSRA** will be maintained in a pledged account under the direct control of the Agent Bank/Lender, ensuring immediate access in the event of a default.

3. ENHANCED COLLATERAL PACKAGE (ASSET-BACKED)

The credit facility is secured by a **First-Priority Lien** on the high-value industrial assets of the **TITAN Grid** facility:

- **Industrial Real Estate:** The **22,742 m²** site located in Tuzi, Montenegro.
- **Tier-1 Robotic Assets:** **30 kW** Laser Cutting Systems and Robotic Welding Cells (Market value exceeds the loan principal from Day 1).
- **Solar Power Utility:** The **1.4 MWp** solar array, serving as a standalone income-generating asset.





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4. NEGATIVE COVENANTS & DIVIDEND LOCK-UP

The Company agrees to the following restrictions to prioritize **Lender Seniority**:

- **Dividend Restriction:** No capital distributions or dividends will be authorized unless a Debt Service Coverage Ratio (DSCR) of greater than **2.50x** is maintained (Current projection: **10.73x - 29.38x**).
- **Cash Sweep:** In cases of excess liquidity, the Company reserves the right to implement a "Cash Sweep" mechanism for accelerated debt reduction, further minimizing the Lender's Risk-Weighted Assets (RWA).

5. CONCLUSION: CREDIT ENHANCEMENT

The introduction of a **6-month DSRA** alongside a high-value asset collateral package reduces the Probability of Default (PD) to nearly zero levels. Paired with an **EBITDA margin exceeding 50%**, TITAN Grid showcases a "**Tier-1 Credit Profile**" that surpasses the risk-safety criteria of international financial institutions.

Respectfully,

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